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SULIMAN S. OLAYAN SCHOOL
OF BUSINESS





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FUNDAMENTALS OF MANAGEMENT AND ORGANIZATIONAL BEHAVIOR

Week 9 – Change Management

MNT 215 – Summer 2026

Suliman S. Olayan School of Business | American University of Beirut



Slides partly adapted from Robbins, S. P., Coulter, M. A. & Long, L. K. (2024). Management (16th Global Edition).



THE CASE FOR CHANGE

Organizational change: any alteration of people, structure, or technology in an organization

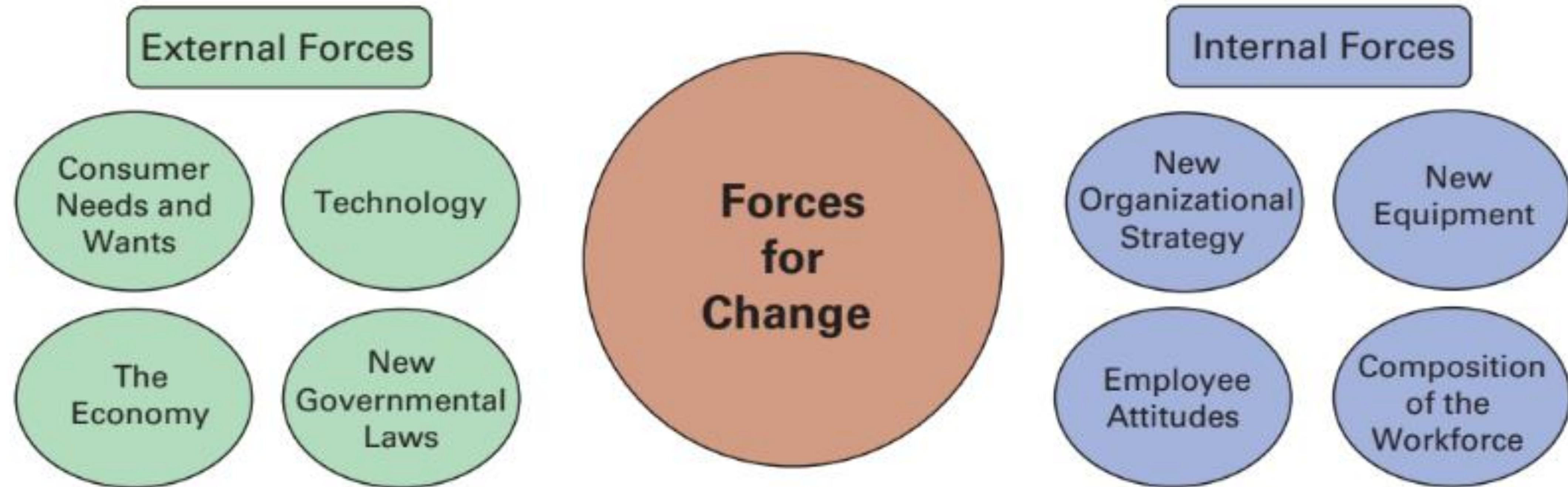
Change agent: someone who acts as a catalyst and assumes the responsibility for managing the change process

VUCA: volatility, uncertainty, complexity, and ambiguity

- In today's world, change is the only constant
- Managers must deal with that reality



EXTERNAL AND INTERNAL FORCES FOR CHANGE





WHITE-WATER RAPIDS METAPHOR

- **White-water rapids metaphor:** the lack of environmental stability and predictability requires that managers and organizations continually adapt and manage change actively to survive



FIVE TYPES OF CHANGE

Strategy

Modifying the approach to ensuring the organization's success

Structure

Structural components and structural design

Technology

Work processes, methods and equipment

People

Attitudes, expectations, perceptions and behavior - individual and group

Culture

Shifting in response to internal or external factors



TYPES OF CHANGE: STRATEGY

- Failure to change strategy when circumstances dictate could undermine a company's success.
- Competition can dictate a change in strategy.
- Organizations that don't recognize a need to change strategy may not survive in the long run.



TYPES OF CHANGE: STRUCTURE

- Changing structural components
- Changing structural design



TYPES OF CHANGE: CULTURE

- An organization's culture is very difficult to change.
- Acknowledging that organizational cultures are hard to change doesn't mean that they can't be changed. They can.
- Culture is easier to change when
 - a dramatic crisis occurs
 - leadership changes hands
 - the organization is young and small
 - the culture is weak



CHANGING CULTURE

- Lead by Example
- Craft New Narratives
- Support Champions
- Redesign Socialization
- Align Rewards
- Clarify Expectations
- Shift Subcultures
- Build Consensus & Trust



TYPES OF CHANGE: TECHNOLOGY

- New equipment, tools, or methods
- Automation
- Computerization
- The Internet of Things

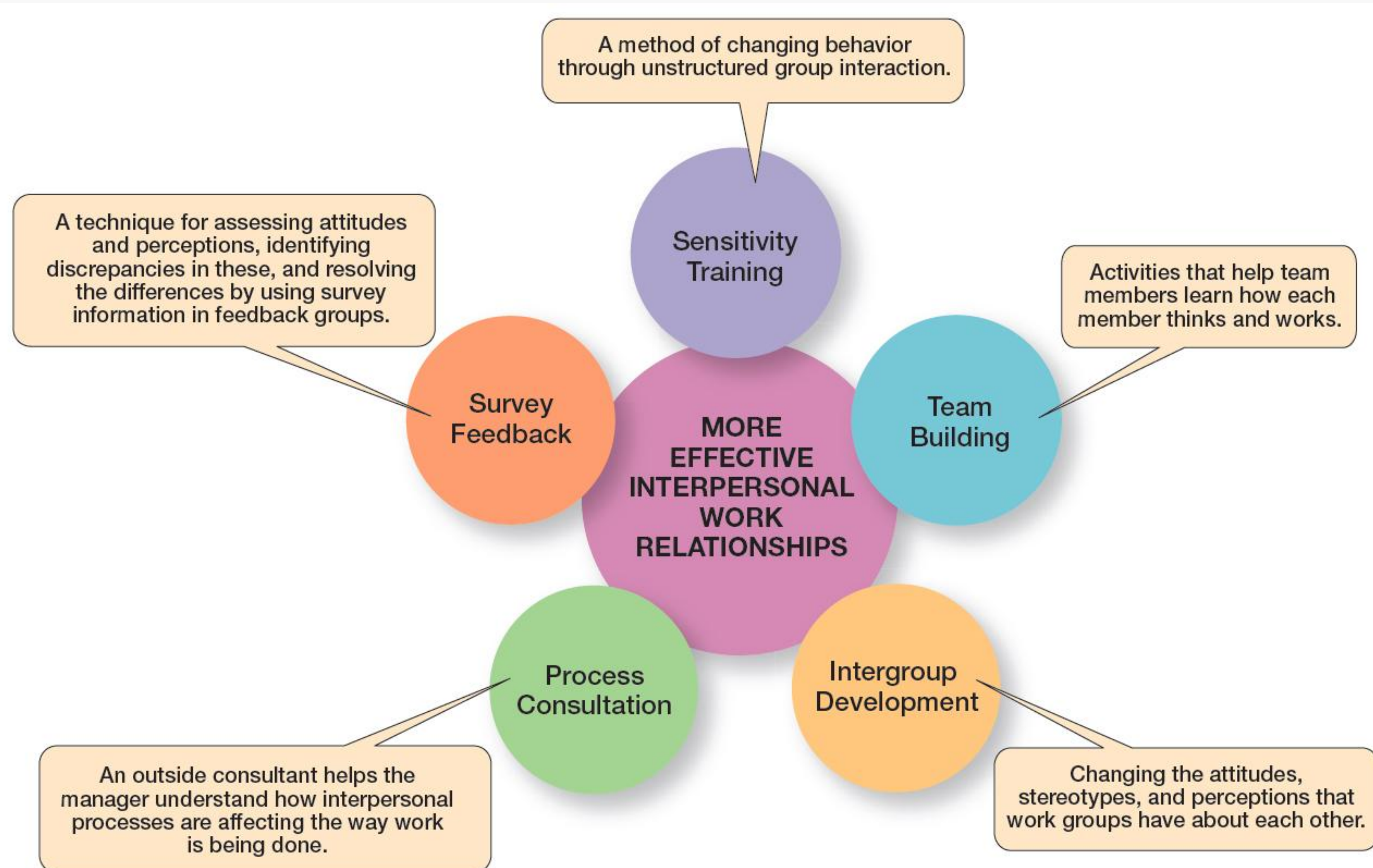


TYPES OF CHANGE: PEOPLE

- **Organizational development:** change methods that focus on people and the nature and quality of interpersonal work relationships



POPULAR ORGANIZATIONAL DEVELOPMENT TECHNIQUES





POSSIBLE REACTIONS TO CHANGE

- **Cognitive:** Opinions regarding the usefulness and necessity of change, as well as the knowledge required to manage it
- **Affective:** Feelings of satisfaction or anxiety about change
- **Instrumental:** Actions already taken or to be taken to manage change



HOW DO PEOPLE RESIST TO CHANGE?

Active and overt resistance

- Immediate
- Complaints and protests
- Visible actions

Passive and covert resistance

- Postponed
- Reduced effort
- Mistakes
- Gossips
- Absenteeism

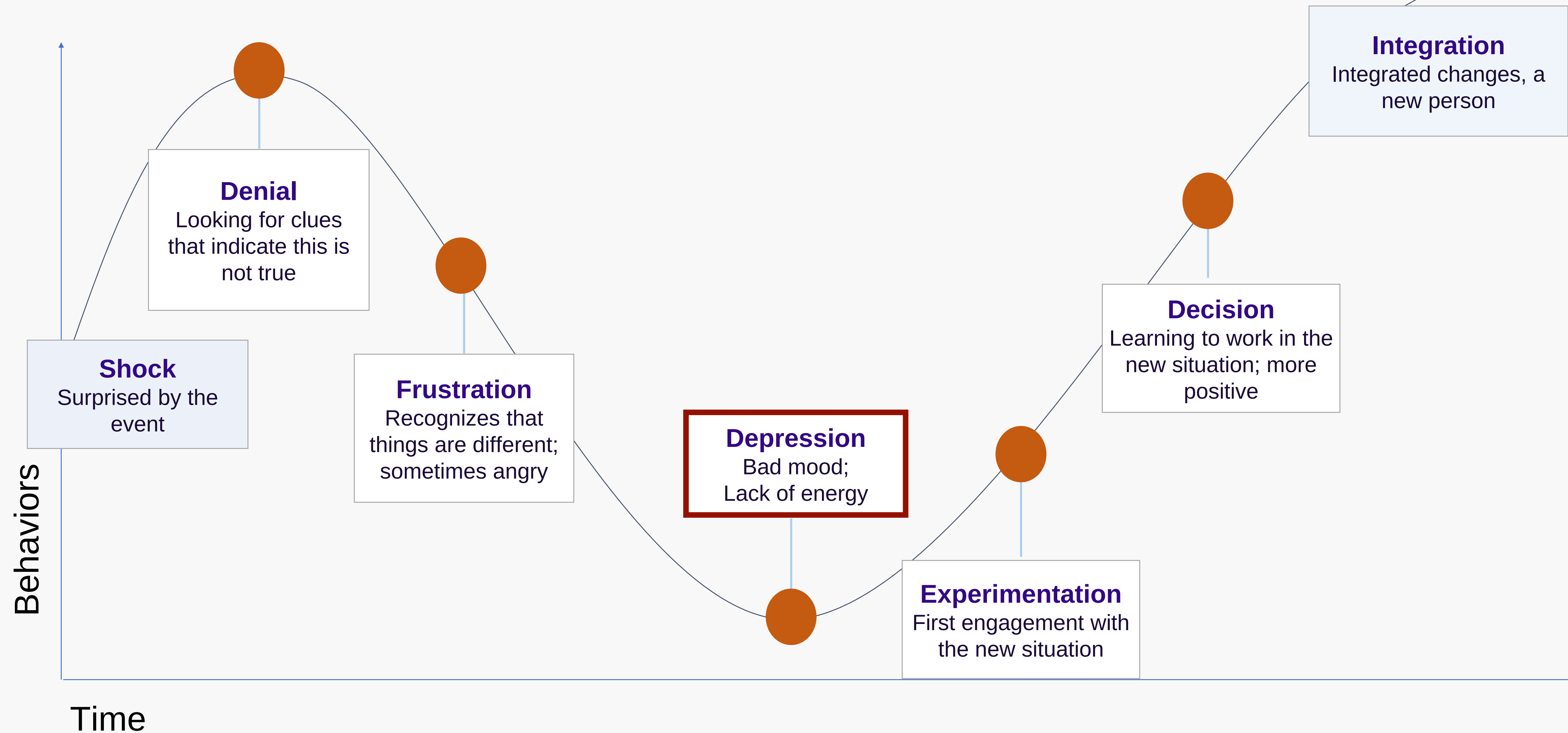


WHY DO PEOPLE RESIST CHANGE?

- Uncertainty
- Habit
- Fear of loss
- Belief change is inconsistent with goals of organization

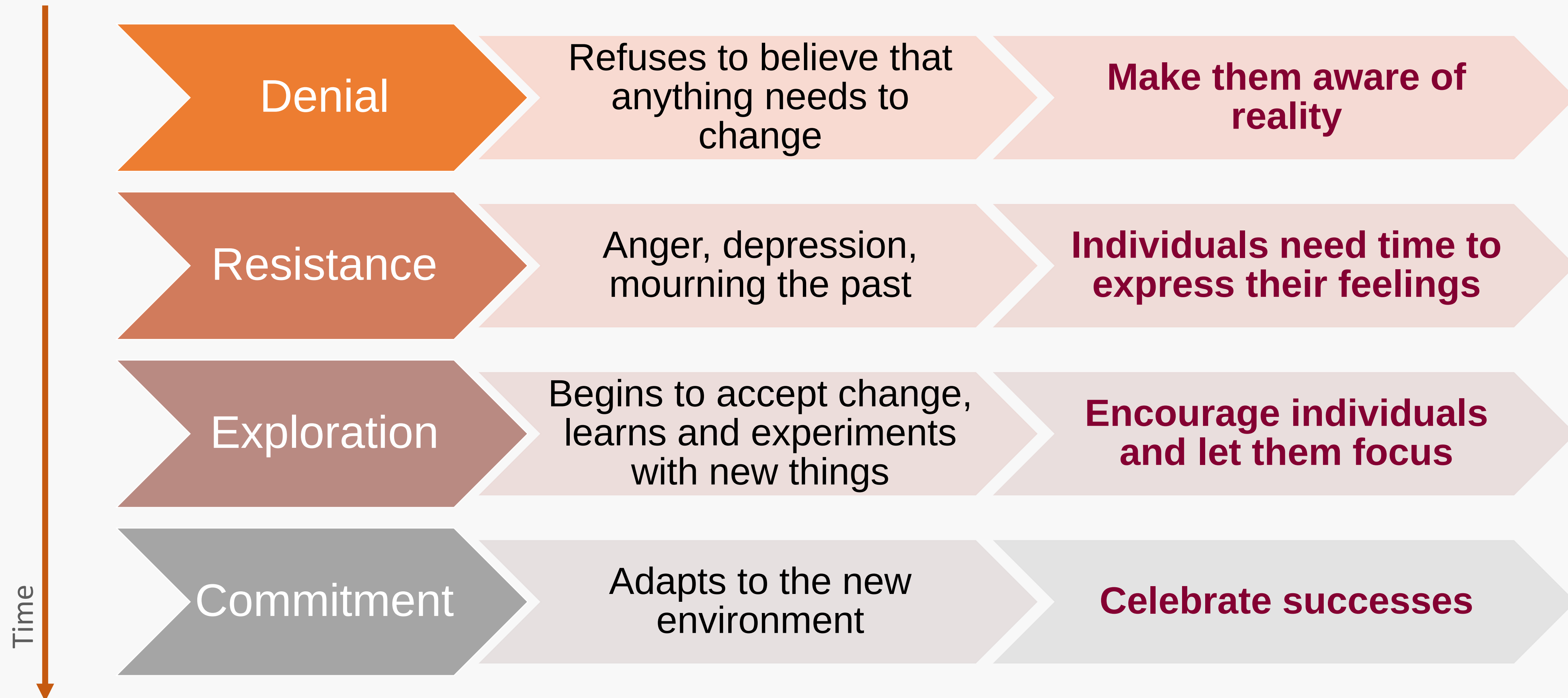


REACTION CURVE: KÜBLER-ROSS' GRIEF MODEL





HOW TO HELP RESISTERS?





TECHNIQUES FOR REDUCING RESISTANCE TO CHANGE

Technique	When Used	Advantage	Disadvantage
Education and communication	When resistance is due to misinformation	Clear up misunderstandings	May not work when mutual trust and credibility are lacking
Participation	When resisters have the expertise to make a contribution	Increase involvement and acceptance	Time-consuming; has potential for a poor solution
Facilitation and support	When resisters are fearful and anxiety ridden	Can facilitate needed adjustments	Expensive; no guarantee of success
Negotiation	When resistance comes from a powerful group	Can “buy” commitment	Potentially high cost; opens doors for others to apply pressure too
Manipulation and co-optation	When a powerful group’s endorsement is needed	Inexpensive, easy way to gain support	Can backfire, causing change agent to lose credibility
Coercion	When a powerful group’s endorsement is needed	Inexpensive, easy way to gain support	May be illegal; may undermine change agent’s credibility



PREPARE PEOPLE TO CHANGE: LEWIN'S MODEL (1947)

Unfreezing

- Recognize the need for change
- What needs to change?
- Ensure that management supports the change
- Manage and understand doubts and concerns

Changing

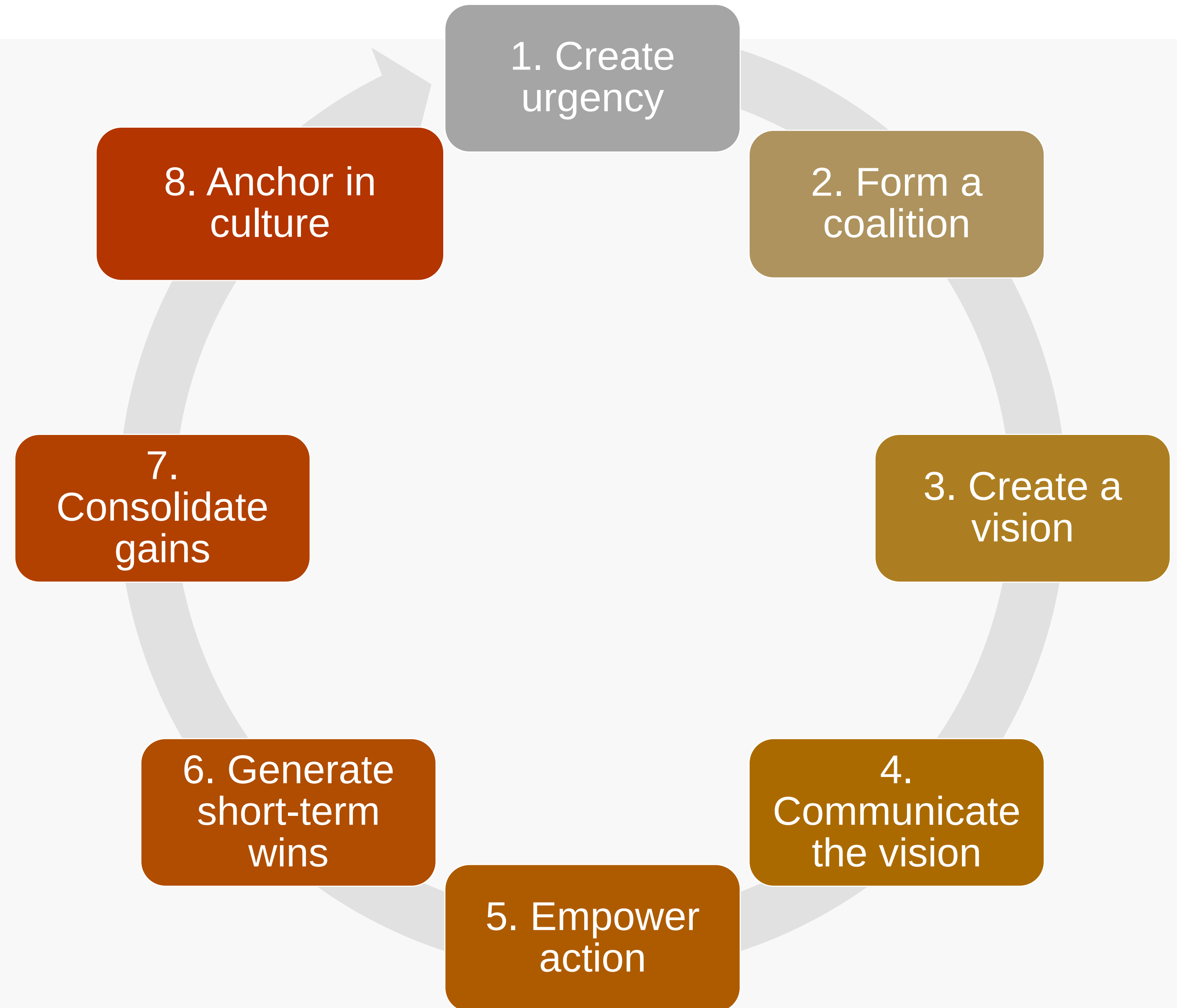
- Plan for change
- Implement change
- Help employees learn new concepts and perspectives

Refreezing

- Changes are reinforced and stabilized
- Integrate changes into new ways of doing things
- Develop ways to sustain change
- Celebrate success



KOTTER'S 8 STEPS FOR IMPLEMENTING CHANGE (1995)



THANK YOU



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